

Outlook

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Follow-up: the model may be learning from events that happen after prediction

Hi team,

The proposed repayment-stress model combines monthly snapshots, and Model Risk needs proof that every feature existed at the observation date.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use June 2024 as the new evidence point rather than recycling the earlier conclusion. Please start with the decision we need to make, then show whether the available evidence is strong enough to support it.

Can you test these explanations rather than choosing one at the start?

- monthly snapshots duplicate later knowledge
- performance is stable after strict time-based validation
- status or collections fields leak future outcomes

The decision is whether the model can enter validation or must return to feature engineering. Please give us a one-page finding note plus the underlying CSV for our own review.

You should be able to build the evidence from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments; monthly account snapshots, status events, limits, product enrolments and signatories. Use out-of-time validation and preserve event timestamps; do not random-split repeated observations of the same customer.

Thanks